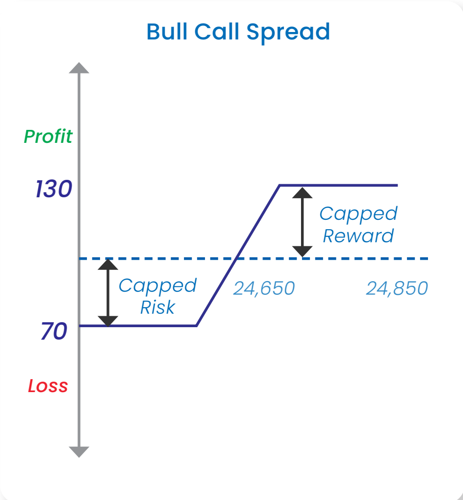


Let us explore the bull call spread strategy used by bullish options traders. Suppose I must pay ₹150 premium to buy an ATM call option. However, I do not want to risk ₹150. I can adopt the bull call spread strategy.

Instead of buying a Nifty 24,700 CE, I could buy a Nifty 24,650 call and sell a Nifty 24,850 call. So, I am creating a spread of 200 points (24,850 - 24,650). As a result, my risk gets capped at 70 points, and my reward gets capped at 130 points. This strategy offers a favourable risk-to-reward ratio of 1:1.86, i.e., 70/130.

Besides the bull call spread strategy, various other techniques can help you maximize gains and minimize losses. I have listed some of these below.

| Strategy | Objective | Structure | Risk/Reward |
|---|---|---|---|
| Ratio bull call spread | Take a bullish position with reduced cost but increased risk | • Buy one in-the-money call<br>• Sell two out-of-the-money calls | • Cost is lower than a bull call spread<br>• Risk is unlimited if the market moves significantly upward<br>• Suitable for range-bound bullish markets |
| Call ladder spread | A variation of ratio bull call spread with added complexity | • Buy one in-the-money call<br>• Sell one out-of-the-money call<br>• Sell another further out-of-the-money call | There is unlimited risk if the market moves substantially beyond the strikes sold. |
| Covered call | Generate additional income while holding a bullish position | • Buy a futures contract<br>• Sell an out-of-the-money call option | • Limited profit potential due to the sold call's cap<br>• Reduces cost compared to holding futures alone |

In the next chapter, we will go into more detail for some of these strategies.